> The Act requires these companies to disclose their financial condition and investment policies to investors when stock is initially sold and, subsequently, on a regular basis. The focus of this Act is on disclosure to the investing public of information about the fund and its investment objectives, as well as on investment company structure and operations.

The 40-Act emphasizes disclosure so that asset owners have information to make informed choices; disclosure minimizes information asymmetry and reduces *adverse selection* and *moral hazard*. The 40-Act further stipulates how the fund manager can be paid and specifies the governance structure of registered investment companies. Thus, it sets *behavior-based contracts* that place restrictions on what managers can do.

The SEC ends with a warning:

> It is important to remember that the Act does not permit the SEC to directly supervise the investment decisions or activities of these companies or judge the merits of their investments.

The 40-Act only establishes a barebones framework that helps investors make informed decisions; it does not guarantee that those decisions will be smart.

2.1. REGISTERED INVESTMENT COMPANIES

The 40-Act covers four types of registered investment companies: (i) *mutual funds*—the vehicle that built Janus into a powerhouse, (ii) *closed-end funds*, (iii) *unit investment trusts* (UITs), and (iv) *exchange-traded funds* (ETFs), which are the newest of the four and rapidly growing in popularity. All of these are tax pass-through vehicles so that investors, not the funds, are taxed. There are two main investing styles practiced by registered investment companies: *passive* managers closely track benchmarks, usually at low cost (warning: some index funds are expensive!), while *active* managers, like Janus, try to add value by picking and choosing stocks, thereby deviating significantly from their benchmarks.

Figure 16.2 graphs net assets invested in each of these types of investment companies from the Investment Company Institute (ICI), the industry association of U.S. investment companies. At the end of 2011, investment companies held a total of \$11.6 trillion, the bulk of which (90%) was held in mutual funds.

A great many people own shares in registered investment companies—especially mutual funds. At end of 2011, 44% of all U.S. households held investments in mutual funds, and registered investment companies managed 23% of U.S. households' financial assets.

Mutual funds issue shares directly from the fund itself or indirectly through a broker. The *net asset value* (NAV) is the value of the fund's assets minus liabilities. Dividing the NAV by the number of shares is the price at which investors can